Regulatory fragmentation regarding leave management

The patchwork of rules and requirements for leave management may present significant compliance challenges to many employers. Consider that:

- Ten states (including the District of Columbia) already have paid family and medical leave programs in place.
- Four states will implement such programs in 2026 (Delaware, Minnesota, Maine) or 2028 (Maryland).
- Eight states have voluntary paid family leave programs (NCOIL model).
- Nine states have introduced, but not enacted, legislation during the past several years.
- Eighteen states have laws that mandate paid sick and safe leave programs.



Employer willingness to pay for integrated experiences: As more state-mandated plans are implemented, employers have options: They can choose public plans administered by the state or private/voluntary plans managed by a carrier or other third parties. Employers electing private plans did so to save time and money and to access better experiences. The specific reasons cited by employer respondents were the lighter administrative burden on internal staff (57%), increased cost effectiveness (57%) and the ability to achieve better integration with other employer-sponsored benefits (55%), including disability and other paid leave benefits.

Probing further on the value of integrated experiences, we asked employers whether they prefer:

- A carrier that provides an integrated absence management program along with its disability product for a higher price
  Or
- A carrier with the best-value disability product even without an integrated, real-time absence management service

More than two in three midsize and large employers chose the first scenario. Small employers, which are typically more cost conscious, were split 50-50. *See Figure 11*.

Figure 11

In choosing carriers, employers value integrated absence management experiences more than affordability.

QUESTION: Imagine your company was selecting a carrier for a new disability insurance benefit. Which of the following would you choose?

